

banks started their operations in the corporate sector, while others focussed on the retail market. It was natural for us to start as a micro-finance business.

No bank began with a diversified product basket. Over time, banks gradually diversify into various product categories, such as secured, unsecured, micro, and non-micro [loans]. But you require time to diversify. If you have started with a single product and 2,000 outlets, you will need a little time to diversify. This is because, as a bank, we handle depositors' money, and we also

If you observe, each organisation (bank) follows a different approach. Bandhan Bank has a unique structure as given by the banking regulator; it operates under a holding company structure, unlike other banks. When you have a standalone bank structure, there aren't as many opportunities [as at a holding company]. However, I have opportunities within the holding company where I can play a strategic role.



Do you think there is a greater need for your presence in the holding

a founder CEO to a professional CEO?

A bank is an institution, not a group or a family. When an organisation becomes an institution, it means that systems and processes are primarily running it. Yes, there are key individuals who make important decisions, but their influence is limited.

The main focus is on the institutional systems. The second challenge is how the leadership will adjust to the existing culture. This adjustment can be difficult. When a new person joins, they bring a different culture. An

this period. When trying to change certain behaviours, it's important to first understand and acknowledge the positive aspects of the current culture.

If you simply impose new directives, there will be resistance. Therefore, recognising the good practices already in place and then gradually introducing necessary developments is key. Culture is the biggest challenge, but other than that, there are no significant issues.



What are the things you will miss about the bank that you nurtured and built from scratch?

I will miss my people. I will miss my customers. My customers and staff love me a lot. That is my inspiration. In nine years, we have achieved ₹1.35 lakh crore in deposits, with 70% being retail deposits. This shows that people trust the bank, and I am very proud of this achievement. Retiring or holding the position isn't the main issue for me. My concern is that this institution will be sustained to serve people in the long run. That is my success. My success does not depend on the duration of my tenure as MD; it depends on the institution running well. That is the main thing. **BT**

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64 | **“OVER THE PAST 20 YEARS, MICRO-CREDIT BORROWERS HAVE PROVED THAT THEY CAN REPAY [LOANS]”**

need to ensure that this money is safe.

For that reason, we are gradually diversifying into secured segments and also geographically... If there is a limitation or restriction on some entities to expand, then the risk is a bit higher. On the other hand, if any bank wants to diversify too quickly, that is also a risk. We have to find a balance from both the perspectives.



You have decided to retire as MD & CEO. Why not be a board member?

company now?

As MD & CEO, I can't say anything... However, from an overall perspective, I do need some time to develop my entire group. So far, I have dedicated my full time to the bank. When will I give time to the holding company? I am 64, and I need to consider how much time I have left to develop the entire group. They also have expectations from me.



What are the kind of challenges you see as the bank transitions from

organisation cannot change its culture based on one person; instead, the new leader must adapt to the organisation's existing culture. If a leader introduces significant cultural changes, that can cause a cultural shock, impacting the organisation immediately. So, culture is the main challenge.

It's crucial to handle the cultural transition carefully, ensuring the new team adopts the existing culture while gradually making necessary changes. Communication is vital during